

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-09

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC and FCA Italy S.p.A.,

v.

WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC., NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC., MITSUI O.S.K. LINES, LTD., MOL (AMERICA) INC., KAWASAKI KISEN KAISHA, LTD., “K” LINE AMERICA, INC., COMPAÑÍA SUD AMERICANA DE VAPORES, AND HOËGH AUTOLINERS AS,

COMPLAINANTS’ BRIEF IN OPPOSITION TO RESPONDENTS WALLENIOUS WILHELMSSEN LOGISTICS AS AND WALLENIOUS WILHELMSSEN LOGISTICS AMERICAS LLC MOTION IN LIMINE TO BAR COMPLAINANTS’ APRIL 16, 2019 EXPERT REPORT

Respondents Wallenius Wilhelmsen Logistics AS and Wallenius Wilhelmsen Logistics Americas LLC’s (together, “Respondents”) motion improperly conflates the standards for admissibility and credibility of expert testimony and should be denied.

I. Complainants’ April 16, 2019 expert report meets the expert disclosure requirements of Commission Rule 502.141(d)(2)

Complainants’ expert report of Christopher Rowland, Ph.D. (“Rowland Report”) complies with the expert disclosure requirements of Commission Rule 502.141(d)(2), as outlined below:

- a. The Rowland Report contains a “complete statement of all opinions the witness will express and the basis and reasons for them.” 502.141(d)(2)(i).

Rowland was engaged by Complainants to “serve as an economic expert on

matters of overcharges incurred by FCA,” “propose a feasible and reliable methodology for estimating damages resulting from overcharge.” Resp’ts Mot. Exh. A (“Rowland Report”) p. 1. The Rowland Report goes on to “describe how this methodology would arrive at a damages estimate that is the result of illicit challenged behavior” by explaining the proposed methodology, explaining why Rowland chose to compare profit margins over prices in his proposed methodology, and how to ultimately account for damages. Rowland Report pp. 1, 2-5.

- b. The Rowland Report identifies “the facts or data considered by the witness.” 502.141(d)(2)(ii). Rowland and his staff “reviewed a variety materials in undertaking [the] assignment, including documents provided by FCA [“Claimants”] and publicly available information” which is set forth in Appendix 2 of the report. Rowland Report p. 2, App. 2.
- c. Contrary to Respondents’ claim, the Commission Rule does not require that exhibits be identified if the expert does not intend to rely on any. 502.141(d)(2)(iii). Further, counsel for Complainants made clear in the cover email delivering the Rowland Report that it would be supplementing the report as additional facts became available. If Dr. Rowland intends to rely on exhibits, then the exhibits will be identified.
- d. The Rowland Report provides “the witness’s qualification, including a list of all publications authored in the previous 10 years.” 502.141(d)(2)(iv). Rowland describes his educational background and professional experience and attached his curriculum vitae to the report. Rowland Report p. 1, App. 1.

Rowland's curriculum vitae identifies all of his publications authored in the previous 10 years. Rowland Report App. 1.

- e. The Rowland Report does not identify any cases or proceedings during the previous 4 years in which Rowland "testified as an expert in a trial, an administrative proceeding, or by deposition" because there are none.

502.141(d)(2)(v).

- f. The Rowland Report contains a "statement of the compensation to be paid for the study and testimony in the proceeding." 502.141(d)(2)(vi). The Rowland Report identifies Rowland's "customary rate of \$385 per hour" and notes that his firm will also be compensated for time spent by research staff. Rowland Report p. 1.

Respondents complain but do not establish that the Rowland Report fails to meet the disclosure requirements of 502.141(d)(2). Indeed, the plain language of the Rowland Report and its appendices directly rebut Respondents' assertions. Respondents' motion should be denied.

II. Respondents' motion conflates the standards for admissibility with credibility of expert testimony

Respondents' motion is actually a substantive attack on Rowland's qualifications and opinion, which is not proper in the context of a *motion in limine*. See *Talmage v. Harris*, 354 F. Supp. 2d 860, 868 (W.D. Wis. 2005). Respondents' substantive arguments are meritless because they attack the credibility of Rowland's opinion and not its admissibility. Respondents argue that "the 'yardstick approach' – is not appropriate" and second, that Rowland is "not qualified to opine on matters concerning the economics of

the RoRo shipping industry” because “his experience is not in any form of shipping.”

Resp’ts. Mot. p. 4 n. 1, p. 5 n. 2.

Questions relating to the bases and sources of an expert’s opinion affect the weight to be assigned that opinion rather than the admissibility. *Viterbo v. Dow Chem. Co.*, 826 F.2d 420, 422 (5th Cir.1987). Respondents claim that the Rowland Report should be stricken pursuant to 502.141(d)(2)(i)¹ because Rowland’s use of the “yardstick approach” is invalid and/or inappropriate. Resp’ts. Mot. p. 4, n. 1. Respondents’ claim, however, identifies the very issue that must be determined by the Presiding Judge in this proceeding – how much weight and credibility to accord the Rowland report, but not the admissibility of that report. *See, e.g., Talmage*, 354 F. Supp. 2d at 861-862 (arguments challenging certified public accountant expert’s methodology to compute damages “go not to the admissibility of [expert’s] opinions but to their weight and credibility.”).

Disputes as to the strength of Rowland’s credentials and specialization (or alleged lack thereof) also go to the weight and credibility of Rowland’s opinions, not their admissibility. *McCulloch v. H.B. Fuller Co.*, 61 F.3d 1038, 1043 (2d Cir.1995) (“quibble” with expert’s lack of academic training in fume dispersal and air quality studies and other alleged shortcomings were “properly explored” on cross-examination and went to expert testimony’s weight and credibility—not admissibility). When analyzing the admissibility requirements for expert witnesses under Fed. R. Evid. 702, which “mandates a policy of liberal admissibility,” federal courts have consistently rejected the argument Respondents attempt to advance here: that an expert witness is not qualified simply because he or she

¹ Respondents’ substantive attack on Rowland’s proposed methodology also contradicts Respondents’ claim that the Rowland Report does not satisfy the disclosure requirement. An expert report is not deficient under 502.141(d)(2)(i) simply because Respondents do not agree with the stated opinions.

is lacking in specialization. *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994). *See also Quinton v. Farmland Indus.*, 928 F.2d 335, 337–38 (10th Cir. 1991) (veterinarian need not be specialist in toxicology to testify on toxic effect of substance on dairy cows); *Lavespere v. Niagara Machine & Tool Works, Inc.*, 910 F.2d 167, 176–77 (5th Cir.1990) (in products liability action against manufacturer of press brake, witnesses may testify on safety of brake design despite lack of personal design experience); *Exum v. General Electric*, 819 F.2d 1158, 1163–64 (D.C.Cir.1987) (registered engineer experienced in industrial safety and product design, but lacking any specific expertise in kitchen design, qualified to testify in products liability action against manufacturer of industrial fryer); *Dixon v. International Harvester Co.*, 754 F.2d 573, 580 (5th Cir.1985) (design engineer may provide expert testimony on safety of crawler tractor in product liability action against manufacturer despite lack of prior experience approving crawler tractor designs); *Martin v. Fleissner GMBH*, 741 F.2d 61, 64 (4th Cir.1984) (mechanical engineers were qualified to present expert testimony in product liability action against manufacturer of synthetic fiber crimper although they lacked previous background in either crimpers or the textile industry); *Hammond v. International Harvester Co.*, 691 F.2d 646, 653 (3d Cir.1982) (witness who had sold automotive and agricultural equipment and taught automobile repair at local high school could render expert opinion on safety of loader despite lack of formal education in either engineering or physics).

Respondents' complaints, which appear to be solely based upon the arguments of counsel,² go to the weight and credibility of Rowland's opinion, not its admissibility.

² It is an abuse of discretion for a trial court to resolve a dispute about an expert's qualifications based solely on the arguments of counsel. *United States v. Mitchell*, 954 F.2d 663, 666 (11th Cir. 1992).

Accordingly, Respondents' motion to strike the Rowland Report and bar Rowland from testifying in this proceeding should be denied.

III. Respondents' motion is premature

Fact discovery is still ongoing in this proceeding. While the non-settling parties are cooperating to schedule depositions, these depositions have not yet occurred. Rowland will need to supplement his opinion to account for the information and documents that are produced in relation to these depositions, and it is likely that Respondents' experts will need to account for this discovery as well.

Respondents cite one case in support of their contention that the Rowland Report should be stricken and that Rowland should be excluded from testifying, but Respondents did not describe the outcome in *Pell v. E.I. DuPont De Nemours & Co.* In *Pell*, the district court determined that the plaintiffs' expert disclosure and proposed testimony failed to meet the disclosure requirements of Fed. R. Civ. P. 26(a)(2)(B) and admissibility requirements of *Daubert*. *Pell v. E.I. DuPont De Nemours & Co.*, 231 F.R.D. 186, 194 (D. Del. 2005). Notwithstanding the fact that the circumstances of *Pell* are distinguishable from this proceeding³, the *Pell* court's ultimate ruling should be instructive here. Contrary to Respondents' assertions, the *Pell* court did not strike the plaintiffs' expert report, but instead allowed the plaintiffs to supplement their expert report and noted that the defendant may make a subsequent motion to strike and preclude if the plaintiffs were unable to remedy the identified deficiencies. 231 F.R.D. at 194.

³ In response to the defendant's motion to strike and exclude expert testimony, the *Pell* plaintiff conceded that his disclosure did not satisfy "the technical aspects" of Rule 26(a)(2)(B) and attached the expert's curriculum vitae and supplemental statement of opinions as exhibits to the response brief. 231 F.R.D. at 193.

Like the *Pell* court, the Commission should avoid a drastic remedy where a more proportional remedy exists and deny Respondents' motion without prejudice. Trial courts abuse their discretion to direct the discovery process "when the action taken was improvident and affected the substantial rights of the parties." *Wills v. Amerada Hess Corp.*, 379 F.3d 32, 51 (2d Cir. 2004) (internal citations omitted) (affirming district court's exclusion of plaintiff's experts after plaintiff failed to avail herself of multiple opportunities to identify and disclose expert reports in a timely fashion and instead chose to identify experts one at a time in a manner that appeared to delay completion of the pre-trial process). Complainants should be allowed an opportunity to supplement their report following the completion of fact discovery, and Respondents would not be precluded from bringing a subsequent *motion in limine* then.

CONCLUSION

Respondents' motion is contradicted by the plain language of the Rowland Report and is substantively and procedurally premature. Respondents' substantive attacks on the Rowland Report are improper in the context of a *motion in limine* as they go to the credibility, not admissibility, of Rowland's opinion. Respondents' motion is procedurally premature because fact discovery is still ongoing, and Complainants should be allowed to supplement their disclosure following the completion of fact discovery. The Rowland Report satisfies the requisite disclosure requirements, and Respondents have not provided any justification for the Commission to take the drastic measure of striking the Rowland Report and barring Complainants from presenting any expert testimony. Respondents' motion should be denied.

Respectfully submitted,

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DATED: May 1, 2019

CERTIFICATE OF SERVICE

I hereby certify that, on May 1, 2019, true and correct copies of the foregoing brief in opposition to respondents' supplemental consolidated motion to dismiss was filed with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to all counsel for respondents identified in the respondents' supplemental consolidated motion to dismiss.

DATED: May 1, 2019

/s/ Jessica A. Sprovtsoff
Jessica A. Sprovtsoff

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